

1.

CASE #	CASE NAME	HEARING NAME
CVME2512487	SWAINE VS SMITH	MOTION TO STAY CIVIL ACTION OR IN THE ALTERNATIVE, STAY DISCOVERY PENDING RESOLUTION OF CRIMINAL PROCEEDINGS

Tentative Ruling: CONTINUED TO AUGUST 24, 2026

2.

CASE #	CASE NAME	HEARING NAME
CVME2514682	SMITH VS PEDDER	MOTION TO COMPEL ARBITRATION

Tentative Ruling: GRANT as to Plaintiff, Larry Smith, individually, and Defendant, Pedder Auto Management, LLC only.

Plaintiff, Larry Smith, alleges that he was initially hired by Defendants in September of 2018 as the General Manager (GM) of Lake Elsinore Chrysler Jeep Dodge Ram (Lake Elsinore CJDR). In the fourth quarter of 2018, Defendant, David Pedder (Pedder), asked Plaintiff if he wanted to run Pedder's entire company as Vice President of the Pedder Auto Group for a \$20,000 monthly base salary plus a 20% commission of net profits of the entire company based on a percentage of net profits ranging between \$3 million to \$9 million resulting in \$600,000 to \$1,800,000 in bonus earnings. Plaintiff alleges that although there was no written agreement, he accepted the position.

At the end of 2019, Plaintiff became concerned he was not being paid what he was promised and sought clarification from Pedder who agreed to rectify the pay issue. In February of 2020, Pedder agreed to pay Plaintiff \$1 million a year going forward but Plaintiff was only paid \$552,000. Pedder then agreed to a modified salary/commission compensation package of \$1 million a year with any difference being made up by Pedder or Pedder Automotive. Plaintiff, Larry & Corin Smith Auto Consulting, LLC was then created to facilitate services provided by vendors and in joint venture with Pedder Automotive. Plaintiff was paid \$1 million for 2021 and 2022 but, less than that amount for 2023 and 2024. Then on 1/6/25, Pedder "violently and unceremoniously terminated" Smith for no apparent reason and without cause in front of staff and customers. (Compl. ¶ 32.) Pedder allegedly attacked Smith's honesty among other slanderous statements, physically assaulted him while attempting to fight him, and failed to pay his earned compensation of at least \$788,511.00.

Plaintiffs filed their Complaint on 11/3/25 alleging eleven causes of action: 1) failure to pay all wages due; 2) inaccurate wage statements (Labor Code [LC] § 226); 3) failure to pay meal periods; 4) failure to pay rest periods; 5) failure to pay all wages due at termination; 6) breach of employment contract; 7) repayment of wages to employer (LC § 221); 8) violation of Bus. & Prof. Code § 17200; 9) fraud; 10) defamation; and 11) breach of contract.

The Pedder Defendants¹ bring this motion to compel arbitration and to stay the civil action pending arbitration pursuant to the arbitration agreements to arbitrate all employment-related claims between Plaintiff, Smith, and the Pedder Defendants. (Federal Arbitration Act [FAA] 9 USC §§ 1-16; CCP §§ 1281.2, 1281.4.) The Pedder Defendants assert that Plaintiff knowingly and voluntarily signed an arbitration agreement (AA) on 2/29/24 as part of a “Handbook Acknowledgement” form, which Plaintiff was familiar with after having signed five previous similar agreements while he was employed by Lake Elsinore CDJR; Pedder Nissan, LLC; and Pedder Auto Management. They also assert that the various AAs include the non-signatory Pedder Defendants; that Plaintiff’s claims fall squarely within the scope of the AA; that the AA meets the condition of mutuality; and that the AA is not unconscionable.

Plaintiffs oppose the motion arguing that the only active AA is the one signed on 10/22/22 (Dec.Jempsa Ex. “5”) as the others were either superseded or are not applicable but, the subject AA does not identify the company/employer, has no language to submit tort claims to arbitration, and does not identify Plaintiff, Larry & Corin Smith Auto Consulting, LLC (Smith Consulting) as a party. Plaintiffs assert that no valid arbitration agreement exists; that the arbitration provisions are unconscionable; and severance of any unconscionable provision is improper.

Defendant, Eblock Corporation, filed a notice of non-opposition and joinder as a non-signatory, express third-party beneficiary of the AA arguing that it can enforce the AA under the doctrines of equitable estoppel and agency.

Plaintiffs object to Eblock’s joinder.

The Reply asserts that Plaintiffs did not submit Smith’s declaration or any evidence contradicting the Pedder Defendants’ showing that Smith signed the 2/29/24 AA for himself and as Pedder Auto Management’s authorized representative, which includes third-party beneficiaries (sister companies, subsidiaries, and parent companies); that the 10/22/22 AA was superseded by the 2/29/24 AA, which moving Defendants ignored; that Smith Consulting not being a party to the AA is irrelevant as it does not assert any claims against the Pedder Defendants. The Pedder Defendants argue that while the company is not identified, Smith’s role was as an authorized signatory for Pedder Auto Management; that the fraud and defamation claims (tort claims) arise from Smith’s employment and therefore, fall within the scope of the AA; that the unconscionability arguments fail without evidence and ignore several safeguards in the AA (e.g., a neutral arbitrator); that the PAGA waiver could easily be severed; and re-asserts prior arguments.

Upon the petition/motion of a party to an agreement to arbitrate, the court must grant a motion to compel arbitration unless it finds: no written agreement to arbitrate exists; the right to compel arbitration has been waived; grounds exist for revocation of the agreement; or litigation is pending that may render the arbitration unnecessary or create conflicting rulings on common issues. (CCP § 1281.2.) A proceeding to compel arbitration is in essence a suit in equity to compel specific performance of a contract. (*Freeman v.*

¹ Defendants, David Pedder; Pedder Automotive; LLC, Pedder Auto Management, LLC; DPEP, Inc.; Pedder Nissan, LLC; DPEP 5, Inc.; DPDW, Inc. dba Hemet CDJR; DPEP 3, Inc.; DPEP 6, Inc.; and DPEP 7, Inc. are collectively referred to as the “Pedder Defendants.”

State Farm Mutual Auto Insurance Co. (1975) 14 Cal.3d 473, 479.) The motion to compel must set forth the provisions of the written agreement and the arbitration clause verbatim, or such provisions must be attached and incorporated by reference. (CRC rule 3.1330; see also *Condee v. Longwood Mgmt. Corp.* (2001) 88 Cal.App.4th 215, 218–19.) The party seeking arbitration must prove the existence of the arbitration agreement. (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2015) 55 Cal.4th 223, 236.) The burden then shifts to the opposing party to prove any defense such as unconscionability. (*Id.*)

“In ruling on a petition to compel arbitration, the trial court may consider evidence on factual issues relating to the threshold issue of arbitrability Parties may submit declarations when factual issues are tendered with a motion to compel arbitration.” (*Engineers & Architects Assn. v. Community Development Dept.* (1994) 30 Cal.App.4th 644, 653.) In the summary proceedings on a motion to compel arbitration, “the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court's discretion, to reach a final determination.” (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972.)

Federal and state policy favors arbitration such that “when there is doubt as to the meaning and construction of an agreement for mediation and/or arbitration, that doubt should be resolved in favor of those processes.” (*Bono v. David* (2007) 147 Cal. App. 4th 1055, 1062.)

The Pedder Defendants assert that Plaintiff, Smith, entered into several arbitration agreements. Rebeca Jempsa, the Human Resources Director for Defendant, Pedder Auto Management, LLC, declares that Pedder Auto Management is part of a network of affiliated car dealerships under common ownership. (Dec.Jempsa ¶ 2.) She is familiar with Pedder Auto Management's information systems and files as well as its policy on arbitration, employee handbooks, onboarding process, and all policies and practices for new hires. (*Id.* ¶ 3.) She states she has access to Smith's personnel files. (*Ibid.*) When Smith applied for employment as the GM with *Lake Elsinore CDJR* on 8/28/18, he electronically signed an “Applicant Statement and Agreement”, which included an acknowledgement and arbitration agreement for all employment-related claims. (*Id.* ¶¶ 5-6, Ex. “1”.) Separately, on 9/4/18, Smith signed a “Binding Arbitration Agreement” (First BAA). (*Id.* ¶ 7, Ex. “2”.)

On 2/1/19, Smith transferred employment from Lake Elsinore CDJR to *Pedder Nissan*, which is part of the same network of car dealerships under common ownership of Pedder Auto Management. (*Id.* ¶ 8.) Smith's new position was Vice President. (*Ibid.*) Smith signed a “Transfer Authorization and Agreement” agreeing that all written agreements including “the at will and arbitration agreements” remained in effect and applied to his new position at Pedder Nissan. (*Id.* ¶ 8, Ex. “3”.) On 12/16/20, Smith transferred employment from Pedder Nissan to *Pedder Auto Management* as Vice President and signed a similar transfer agreement on 1/14/20. (*Id.* ¶ 9, Ex. “4”.) Separately, on 10/27/22, Smith signed a new version of the BAA (Second BAA). (*Id.* ¶ 10, Ex. “5”.)

On 2/29/24, Smith was provided a “Handbook Acknowledgement”, which contained an “At Will and Arbitration Agreement” (HAA), which Smith signed after review. (*Id.* ¶ 11, Ex.

“6”.) Ms. Jempsa declares that the “Company” in the Second BAA and the HAA refers to Smith’s employment with Pedder Auto Management. (*Id.* ¶ 12.)

Notably, the HAA signed on 2/27/24 is the operative arbitration agreement, which the Pedder Defendants are seeking to enforce. The HAA provides: “This is the entire agreement between the Company and me regarding dispute resolution and this agreement *supersedes any and all prior agreements* regarding this issue to the extent that they differ from the foregoing.” (*Id.* ¶ 11, Ex. “6”, HAA p. 81 [p. 28 of 28.]) (emphasis added.) Plaintiff Smith, as an individual and as the authorized representative of Pedder Auto Management entered the HAA, which provides as follows:

4. By signing below and/or by accepting and/or continuing employment with the Company, I agree to pursue any claim I might have against the Company that currently exist or that may arise in the future exclusively through binding arbitration; similarly, the Company agrees to pursue any claims it might have against me that currently exist or that may arise in the future through binding arbitration. ...[which] includes any claims that either of us may have against any third-party beneficiaries as mentioned below.

5. I understand that this agreement requires me to pursue all claims I bring against the Company (and any third-party beneficiaries) through binding arbitration and requires the Company to submit any claims it has against me to binding arbitration (except for those claims specifically excluded by this agreement). Our agreement includes any and all claims which arise out of the employment context or any other interaction/relationship we had, have or may have in the future. Those claims include, but are not limited to, any claim, dispute, and/or controversy that either party brings against the other ...unless prohibited by controlling law. ... (*Id.* p. 78 [p. 25 of 28.])

Plaintiff, Smith, argues that the HAA fails to identify him as the employee and fails to identify Pedder Auto Management as the “Company”. However, he identifies himself as the Employee as indicated in the signature block. (*Id.* p. 81 [p. 28 of 28.]) And he identifies himself as the “Company” representative in the signature block. (*Ibid.*) Moreover, there is no dispute that Smith’s position at the time he signed the HAA was Vice President of Pedder Auto Management.

Plaintiff Smith argues in the Opposition that the Pedder Defendants allege the only active AA was the BAA signed on 10/27/22. (Oppo. p. 9:9-10.) However, the Pedder Defendants are clearly relying on the HAA, as indicated above. As a result, Plaintiff has not opposed the motion to compel the operative HAA.

The Pedder Defendants are identified in the motion, which includes Pedder Auto Management (the “Company”).² The Pedder Defendants also identify David Pedder as the President of Pedder Automotive and that Pedder Automotive, LLC; Nissan of Temecula, Inc.; Hemet CJDR; Raceway Nissan; Poway Hyundai; and Pedder Chrysler

² Defendants, David Pedder; Pedder Automotive; LLC, Pedder Auto Management, LLC; DPEP, Inc.; Pedder Nissan, LLC; DPEP 5, Inc.; DPDW, Inc. dba Hemet CDJR; DPEP 3, Inc.; DPEP 6, Inc.; and DPEP 7, Inc. are collectively referred to as the “Pedder Defendants.”

Dodge Ram and Jeep of Poway as part of the same network of affiliated car dealerships under the common ownership of Pedder Auto Management. (Dec.Jempsa ¶ 13.) However, these entities are not the same. None of the entities identified by Jempsa are included in the “Pedder Defendants.” While the HAA states it applies to third-party beneficiaries, they are not specifically identified.

The general rule is that only a party to an arbitration agreement is bound by or may enforce the agreement. (*Thomas v. Westlake* (2012) 204 Cal.App.4th 605, 613.) However, an arbitration agreement can be enforced against certain non-signatories under applicable principles of agency and contract law. (See *Letizia v. Prudential Bache Secur., Inc.* (9th Cir. 1986) 802 F.2d 1185, 1187; *Gravillis v. Coldwell Banker Residential Brokerage Co.* (2006) 143 Cal.App.4th 761, 772, fn.3.) The Pedder Defendants argue that they are entitled to enforce the HAA as third-party beneficiaries under the terms of the HAA.

The law recognizes an exception to the general rule where the non-party is a third-party beneficiary to the agreement. (*Ronay Family Limited Partnership v. Tweed* (2013) 216 Cal.App.4th 830, 837-38; see also *Jones v. Jacobson* (2011) 195 Cal.App.4th 1, 17-18 [arbitration agreement may be enforced by nonsignatories when the nonsignatory is a third-party beneficiary of the agreement, and when a preexisting agency relationship makes it fair to allow the nonsignatory to impose the duty to arbitrate].) “The test for determining whether a contract was made for the benefit of a third party is whether an intent to benefit a third person appears from the terms of the contract.” (*Spinks v. Equity Residential Briarwood Apartments* (2009) 171 Cal. App. 4th 1004, 1022.) People who benefit only incidentally or remotely are not third-party beneficiaries. (*Ibid.*) “Reading the agreement as a whole in light of the circumstances under which it was made, the terms of the agreement must clearly manifest an intent to make the obligation inure to the benefit of the third party.” (*Martin v. Bridgeport Community Assn., Inc.* (2009) 173 Cal. App. 4th 1024, 1034.)

The HAA is between Smith and Pedder Auto Management as the “Company”. (Dec.Jempsa ¶ 11, Ex. “6”, HAA p. 81 [p. 28 of 28.]) The HAA provides that it “includes any claims that either of us may have against any third-party beneficiaries as mentioned below.” (*Id.* ¶¶ 4-5.)

Such third-party beneficiaries “include the Company’s owners, directors, officers, managers, employees, agents, partners, attorneys, sister-companies, subsidiaries, parent companies, joint-venturers, affiliated persons/entities, independent contractors, and parties affiliated with its employee benefit and health plans. These claims also include any claims arising from, related to, or having any relationship or connection whatsoever with my seeking employment with, employment by, or other association with the Company or third-party beneficiaries, whether based on tort, contract, statute, equity or otherwise. (*Id.* ¶ 5.)

The Pedder Defendants assert, in conclusory fashion, that they are third-party beneficiaries because the HAA includes “owners ...sister-companies, subsidiaries, parent companies...”. (Motion, p. 14:24-27.) However, they have not demonstrated these connections, nor have they established that they are intended third-party beneficiaries as opposed to being only benefitted incidentally or remotely. The terms of the HAA do not

“clearly manifest an intent to make the obligation inure to the benefit of the third party.” (*Martin, supra*. 173 Cal. App. 4th at 1034.) Moreover, Smith was employed by Lake Elsinore CDJR, followed by Pedder Nissan, and then Pedder Auto Management but, not the remaining Pedder Defendants. The Pedder Defendants have not established that the HAA applies to any non-signatory parties. Thus, the HAA applies only to Plaintiff, Smith, and Defendant, Pedder Auto Management.

Nonetheless, Defendant, Pedder Auto Management, has established the existence of a valid arbitration agreement (the HAA) between it and Plaintiff. Thus, the burden shifts to Plaintiff to establish a defense. Here, Plaintiff’s only defense is unconscionability

“‘Procedural unconscionability’ concerns the way the contract was negotiated and the parties’ circumstances at that time. It focuses on the factors of oppression or surprise. This element is generally satisfied if the agreement constitutes a contract of adhesion.” (*Id.*, citing *Nyulassy v. Lockheed Martin Corp.* (2004) 120 Cal.App.4th 1267, 1280-1281.) Adhesion contracts are “standardized contracts drafted by a party of superior bargaining power and presented to the weaker party on a take-it-or-leave-it basis”. (*Id.*)

Plaintiff argues that the arbitration agreement is procedurally unconscionable because it is an oppressive adhesion contract presented without any opportunity for discussion or negotiation; was strategically blended into Smith’s employment documents, which contained a deceptive heading; and that he did not have an opportunity to review the HAA or consult an attorney before signing it. (*Oppo.* p. 6:15-21.) Plaintiff also argues that the HAA constitutes a surprise because it failed to identify the “Company” or “Employer” and is silent as to the party responsible for paying arbitration costs and as to all types of relief available in non-arbitration forum.

However, the Pedder Defendants correctly point out that Smith has presented “zero evidence” to support his procedural unconscionability argument. He did not provide a declaration or anything else. In addition, Smith was a high-level executive who acted as the signatory for Pedder Auto Management in the HAA itself. His position alone belies the purported lack of opportunity to discuss, negotiate, review, or consult an attorney before signing it. Further, Smith had executed prior arbitration agreements while employed by some of the Defendants. Smith has not presented any evidence that being presented with the HAA was a deceptive tactic. Thus, under the circumstances presented here, there is no procedural unconscionability.

Plaintiff also addresses substantive unconscionability, which focuses on the terms of the agreement and whether those terms are so unduly harsh or unreasonably one-sided as to “shock the conscience.” (*Marin Storage & Trucking, Inc. v. Benco Contracting & Eng.* (2001) 89 Cal.App.4th 1042, 1055.) It should also be noted that “a sliding scale is invoked whereby the more procedurally oppressive the arbitration clause is, the less evidence of substantive unconscionability is required to warrant the conclusion that the agreements to arbitrate are unenforceable.” (*McManus v. CIBC World Markets Corp.* (2003) 109 Cal.App.4th 76, 91.)

Here, Plaintiff argues that the arbitration agreement is substantively unconscionable because the HAA does not state the party responsible for the costs of arbitration and there is a “lack of mutuality” due to the unilateral class and representative action waiver.

However, the Pedder Defendants are incorrect as to the arbitration costs. The HAA expressly states “that in most all [sic] circumstances [Pedder Auto Management] will pay all costs and arbitrator fees unique to the arbitration as required for controlling case law, such as for statutory claims for unpaid wages, discrimination, harassment, retaliation, etc.” (Dec.Jempsa Ex. “6”, ¶ 9, p. 80 [p. 27 of 28.]) The Pedder Defendants also assert that Smith waived the right to bring a class, collective, representative or PAGA claim *unless prohibited by controlling law*. (*Id.* ¶ 10.) Noting that the HAA is governed by the FAA, the Pedder Defendants persuasively argue that to the extent that the PAGA waiver is prohibited, the HAA provides for severance as opposed to voiding the entire HAA. (*Ibid.*; see *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639, 662 [finding that the employer was entitled to compel arbitration of former employee’s individual claim].) Any substantive unconscionability is exceedingly minimal as it is limited to the PAGA waiver, which could be severed *if it existed*.

Importantly, some procedural and substantive element is required for the court to find unconscionability. Since there are no procedural nor substantive elements, unconscionability cannot be established.

Accordingly, the motion to compel arbitration between Plaintiff, Smith, as an individual³ and Defendant, Pedder Auto Management, is GRANTED.

3.

CASE #	CASE NAME	HEARING NAME
CVME2606867	CAREY VS CALIFORNIA HIGHWAY PATROL	MOTION FOR PRESERVATION ORDER AND PRODUCTION OF RESPONSIVE RECORDS

Tentative Ruling: DENIED ON BOTH SUBSTANTIVE AND PROCEDURAL GROUNDS.

Motion is unsupported by proper memorandum of points and authorities. Moreover, it is overbroad, ambiguous, uncertain and unclear as to the relief moving party seeks.

4.

CASE #	CASE NAME	HEARING NAME
CVSW2309545	CARTY VS ALLISON JAMES OF CALIFORNIA, INC.	MOTION FOR SUMMARY JUDGMENT OR IN THE ALTERNATIVE SUMMARY ADJUDICATION

Tentative Ruling: GRANT the motion for summary judgment.

GRANT GOLV’s requests for judicial notice of Exhibits 1 and 21 through 24.

DECLINE to consider the separate statement filed with GOLV’s reply.

DECLINE to consider Plaintiffs’ and GOLV’s evidentiary objections in full, as they are not material to the disposition of this motion. (C.C.P. § 437c(q).)

³ Plaintiffs take issue with the fact that Smith Consulting is not a party to any of the arbitration agreements. To the contrary, the Pedder Defendants persuasively argue this is irrelevant since Smith Consulting does not assert any claims against the Pedder Defendants.